

The Hartford Financial Services Group, Inc.

Recommendation **BUY** ★ ★ ★ ★ ★

Price
USD 70.39 [as of market close Oct 20, 2023] **12-Mo. Target Price** USD 82.00

Report Currency USD **Investment Style** Large-Cap Value

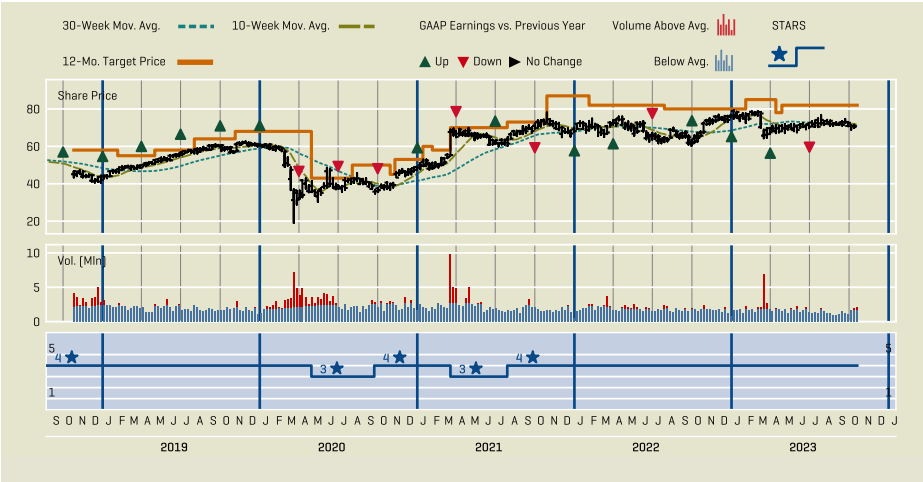
Equity Analyst Catherine Seifert

GICS Sector Financials
Sub-Industry Multi-line Insurance

Summary One of the largest U.S. multi-line insurance holding companies, The Hartford is a leading writer of property & casualty insurance.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)									
52-Wk Range	USD 79.44 - 64.25	Oper.EPS2023E	USD 7.91	Market Capitalization[B]	USD 21.53	Beta	0.85		
Trailing 12-Month EPS	USD 7.31	Oper.EPS2024E	USD 9.75	Yield [%]	2.42	3-yr Proj. EPS CAGR[%]	13		
Trailing 12-Month P/E	9.63	P/E on Oper.EPS2023E	8.90	Dividend Rate/Share	USD 1.7	SPGMI's Quality Ranking	B		
USD 10K Invested 5 Yrs Ago	17,033.0	Common Shares Outstg.[M]	307.00	Trailing 12-Month Dividend	USD 1.7	Institutional Ownership [%]	93.0		

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Catherine Seifert** on Aug 01, 2023 04:52 PM ET, when the stock traded at **USD 71.96**.

Highlights

- ▶ We expect operating revenue growth of 7% to 12% in 2023 and 7% to 10% in 2024. Operating revenues rose by 5.1% in 2022 amid 8% higher premiums, offset by 9% lower fee revenues and a 6% drop in investment income. We expect a firmer insurance pricing environment in the wake of the pandemic and other significant catastrophes to propel operating revenues, partly offset by a slowing economy. We expect growth in 2023 to be driven by an estimated 8% to 12% rise in P&C premiums, flat to 5% higher fee revenues, and flat to 5% higher investment income. We also expect underwriting margins to improve in 2023 amid a lower level of catastrophes and favorable prior year loss development, offset by some adverse claim trends in other lines amid social inflation. We also expect margins to be aided by a restructuring plan set to produce \$500 million in annual cost savings.
- ▶ We look for modestly higher asset management fee income in 2023, as downward pressure on mutual fund fees and more muted returns are partly offset by growth in assets under management.
- ▶ We estimate operating EPS of \$7.91 in 2023, rising to \$9.75 in 2024, and to \$10.95 in 2025. HIG posted \$7.56 of operating EPS in 2022, up from EPS of \$6.15 in 2021.

Investment Rationale/Risk

- ▶ Our opinion on the shares is Buy. We believe HIG continues to benefit from an increase in demand and improved pricing for most commercial lines of coverage as the firm leverages opportunities for profitable growth. We also believe favorable prior-year loss development and the benefits of a restructuring plan are catalysts for the shares, though there is some execution risk at HIG as the firm incurred a \$650M charge to cover a settlement of The Boy Scouts of America abuse claims.
- ▶ Risks to our opinion and target price include deteriorating claim trends, worsening in the credit quality of the investment portfolio, a downturn in the equity markets, and an inability to complete the restructuring.
- ▶ Our 12-month target price of \$82 assumes the shares will trade at 8.4x our 2024 operating EPS estimate of \$9.75 and at 7.5x our 2025 operating EPS estimate of \$10.95. These compare with HIG's 5-year average forward multiple of 10x and a peer average of 12.4x.

Analyst's Risk Assessment

LOW **MEDIUM** **HIGH**

Our risk assessment reflects our view that there is some degree of execution risk as HIG continues its restructuring/cost cutting. This is partially offset by our view of the relative long-term earnings stability and potential for margin expansion in HIG's core property-casualty operations.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2023	5,916	6,053	--	--	--
2022	5,382	5,366	5,578	6,030	22,356
2021	5,289	5,578	5,674	5,809	22,349
2020	4,953	5,061	5,162	5,318	20,494
2019	4,940	5,092	5,346	5,358	20,736
2018	4,683	4,780	4,835	4,627	18,925

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2025	E 2.75	E 2.55	E 2.73	E 2.92	E 10.95
2024	E 2.45	E 2.27	E 2.43	E 2.60	E 9.75
2023	1.68	1.88	E 2.00	E 2.35	E 7.91
2022	1.66	2.15	1.44	2.31	7.56
2021	0.56	2.33	1.26	2.02	6.15
2020	1.34	1.22	1.46	1.76	5.78

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount [USD]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.4250	Jul 19	Aug 31	Sep 01	Oct 03 '23
0.4250	May 17	May 31	Jun 01	Jul 05 '23
0.4250	Feb 22	Mar 03	Mar 06	Apr 04 '23
0.4250	Oct 27	Nov 30	Dec 01	Jan 04 '23

Dividends have been paid since 1996 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.

Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.



The Hartford Financial Services Group, Inc.

Business Summary Aug 01, 2023

CORPORATE OVERVIEW. The Hartford Financial Services Group (HIG) is a multi-line insurer that announced a restructuring plan in mid-2020 aimed at producing \$500 million in annual expense saves, beginning in 2022, that is yielding results. This follows the winding down of a broad-based restructuring effort that began in 2012. HIG is focusing on its property-casualty, group benefits, and mutual fund businesses. To that end, HIG sold a number of non-core units in recent years and has disposed of its run-off annuity business, Talcott Resolution. Segment core earnings (from continuing operations) totaled \$2.7 billion in 2022, with Property Casualty Commercial Lines accounting for 73%, Personal Lines and other P&C operations for 4%, Group Benefits for 16%, and Mutual Funds for the remaining 7%.

HIG's Property-Casualty Commercial Lines division generated earned premiums of \$10.6 billion in 2022, versus \$9.54 billion in 2021. Lines of coverage underwritten include workers' compensation, package business, commercial auto, general liability, property coverage, professional liability, and bond insurance. The commercial lines segment has three main units: Small Commercial (which accounted for 41% of the \$10.6 billion of commercial net earned premiums in 2022); Middle & Large Commercial (33%); and Global Specialty and Other (26%).

The Personal Lines segment provides automobile and home-based coverages to individuals in the U.S., including a special program designed exclusively for members of AARP. Business sold to AARP members accounted for 93% of this unit's \$3.0 billion of earned premiums in 2022. Agency and other channels accounted for the remaining 7% of premiums. Automobile coverage accounted for 69% of this unit's earned premium based in 2022, while homeowners' coverage accounted for the remaining 31%.

The Group Benefits segment provides group life, accident and disability coverage, and group retiree health and voluntary benefits to individual members of employer groups, associations, affinity groups, and financial institutions. Premiums of \$5.9 billion in 2022 were divided: group life 41%, group disability 53%, and other (which includes administrative services only fees) 6%.

The Mutual Funds segment offers mutual funds for retail accounts (including retirement plans and 529 college savings plans); and investment management and administrative services for institutional accounts. Assets under management (AUM) of \$124.1 billion at December 31, 2022, included \$11.6 billion of life and annuity run-off assets held for sale. Equity funds accounted for 66% of total AUM at year-end 2022, while fixed income accounted for 14% and multi-strategy and exchange traded product investments for the remaining 20%.

Talcott Resolution is comprised of the company's run-off annuity and institutional and private placement life insurance business. HIG completed the sale of Talcott for \$2.05 billion on May 31, 2018.

CORPORATE STRATEGY. HIG acquired Aetna's group life business for \$1.45 billion in cash as part of a move away from being a "pure-play" property-casualty insurer. The deal, which was met with a mixed response by the investment community, represented the first significant acquisition made by HIG since it began its multi-year restructuring effort.

HIG's restructuring began in late March 2012, amid pressure from an activist investor, when HIG announced plans to focus on its core property-casualty, group benefits, and mutual fund units. To that end, HIG placed its individual annuity business into run-off (and subsequently sold in 2018), and by early January 2013, it had completed the sale of its retirement services, individual life insurance, and individual annuity new business units. In late April 2014, HIG agreed to sell its Japanese variable annuity business to a unit of ORIX Corp. for \$895 million.

The company was a subsidiary of ITT Corp. until its December 1995 spin-off. From its founding in 1810 as a local fire insurance company, HIG has grown to become a leading multi-line insurer. From that base, HIG has expanded both by product line and geographically. Two key strategies that the company has employed during the past five years have been to shift its business mix toward faster-growing, fee-based financial services products (such as asset management and retirement savings); and develop a network of diverse and innovative distribution channels (including broker-dealers, banks, insurance agents and brokers) through which it can sell these products. Growth over the past decade was fueled to a large degree, in our opinion, by robust sales of variable annuities; its predecessor Hartford Life was a leading writer of individual variable annuities, but its market share declined substantially in 2009 and in 2010, following HIG's efforts to overhaul its variable annuity product after suffering losses.

In the highly competitive property-casualty arena, we view HIG as a leading commercial lines underwriter. HIG has carved out a niche in this space as a leading underwriter to the small business market. We think HIG has a valuable franchise in this area as a leading underwriter and is well-positioned to leverage opportunities from an improved pricing environment that we see emerging.

FINANCIAL TRENDS. The combined ratio is a key measure of property-casualty underwriting performance that combines the loss ratio (equal to loss and loss adjustment expenses divided by earned premiums), the expense ratio (derived by dividing underwriting expenses by net written premiums) and (sometimes) the dividend ratio (policyholder dividends divided by earned premiums). HIG's commercial lines combined ratio improved during 2022, ending the year at 90.2% (versus 95.8% in 2021). The combined ratio, excluding the impact of catastrophes and prior year reserve development, equaled 88.3% in 2022, an improvement over the 89.1% reported in 2021. The personal lines combined ratio deteriorated in 2022, to 100.3%, from 90.7% in 2021, amid higher weather-related losses and adverse claim frequency and severity trends. The underlying combined ratio (before the impact of catastrophes and prior year loss development) also deteriorated in 2022, to 93.3% in 2022, from 89.9% in 2021.

Corporate information

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Officers	
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Executive VP & CFO B. A. Costello	Senior VP, Controller & Principal Accounting Officer A. G. Niderno
Executive VP & General Counsel D. C. Robinson	Executive VP, Head of Technology, Data, Analytics & Information Security and Chief Inf. Officer D. Soni
Chairman & CEO C. J. Swift	

Board Members	
A. G. Woodring	L. D. De Shon
C. Dominguez	M. E. Winter
C. J. Swift	T. Fetter
D. A. James	T. W. Roseborough
E. J. Reese	V. P. Ruesterholz

Domicile Delaware	Auditor Deloitte & Touche LLP
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Founded
1810

Employees
18,800

Stockholders
9,231



The Hartford Financial Services Group, Inc.

Quantitative Evaluations					
Fair Value Rank	1	2	3	4	5
	LOWEST				HIGHEST
	Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].				
Fair Value Calculation	USD 67.76	Analysis of the stock's current worth, based on CFRA's proprietary quantitative model suggests that HIG is overvalued by USD 2.63 or 3.74%			
Volatility	LOW		AVERAGE	HIGH	
Technical Evaluation	NEUTRAL	Since August, 2023, the technical indicators for HIG have been NEUTRAL"			
Insider Activity	UNFAVORABLE		NEUTRAL	FAVORABLE	

Expanded Ratio Analysis				
	2022	2021	2020	2019
P/E Ratio	10.03	11.23	8.47	10.76
Price/Tangible Book Value	2.25	1.57	1.14	1.68
% LT Debt to Capitalization	24.03	21.48	18.76	20.34
Avg. Diluted Shares Outstg. [M]	329.50	354.10	360.60	364.90
Figures based on fiscal year-end price				

Key Growth Rates and Averages				
Past Growth Rate [%]		1 Year	3 Years	5 Years
Net Income		NM	NM	NM
Ratio Analysis (Annual Avg.)				
% LT Debt to Capitalization		24.03	21.42	21.68
Return on Equity [%]		11.53	11.50	11.97
Operating Margin [%]		8.12	9.06	9.02

Company Financials Fiscal year ending Dec 31										
Per Share Data [USD]	2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value	33.66	44.04	42.94	36.24	30.13	32.41	43.57	42.67	42.93	40.61
Operating Earnings	7.46	8.65	6.66	8.26	5.70	2.80	1.87	4.31	4.46	4.18
Earnings	5.44	6.62	4.76	5.66	4.06	-0.72	1.55	2.80	2.93	2.50
Dividends	1.58	1.44	1.30	1.20	1.10	0.94	0.86	0.78	0.66	0.50
Payout Ratio [%]	29.04	21.40	27.52	21.77	20.97	NM	37.28	18.79	35.34	127.00
Prices: High	76.97	78.17	61.32	62.75	59.20	58.61	48.82	50.95	42.47	36.76
Prices: Low	60.16	47.47	19.04	42.77	40.54	46.35	36.54	38.65	31.96	22.00
P/E Ratio: High	10.20	12.70	10.60	11.10	13.70	21.40	14.40	13.10	12.60	10.40
P/E Ratio: Low	8.00	7.70	3.30	7.60	9.40	16.90	10.80	10.00	9.50	6.20
Income Statement Analysis (Million USD)										
Net Life Insurance In Force	1,146,904	1,110,749	1,135,708	1,115,752	1,148,191	992,940	671,517	709,122	656,931	655,117
Premium Income	19,390	17,999	17,288	16,923	15,869	14,141	13,697	13,485	13,336	13,231
Other Revenue	1,310	2,810	1,611	2,098	1,511	1,592	1,145	1,081	2,418	2,890
Total Revenue	22,356	22,349	20,494	20,736	18,925	17,125	16,254	15,966	18,527	19,001
Pretax Income	2,258	2,896	2,120	2,560	1,753	723.00	447.00	1,478	1,699	1,471
Net Operating Income	2,458	3,064	2,400	3,013	2,074	1,019	739.00	1,834	2,054	2,050
Net Income	1,815	2,365	1,737	2,085	1,807	NM	896.00	1,682	798.00	176.00
Balance Sheet and Other Financial Data (Million USD)										
Cash & Equivalent	229.00	205.00	151.00	185.00	112.00	180.00	328.00	448.00	399.00	1,428
Investment Assets: Bonds	36,483	42,865	44,862	41,982	35,518	36,808	32,393	59,699	59,872	63,201
Investment Assets: Loans	6,000	5,383	4,493	4,215	3,704	3,175	2,886	5,624	5,556	5,598
Investment Assets: Total	51,959	57,091	55,920	52,447	46,243	44,940	39,715	72,690	76,043	97,938
Deferred Policy Costs	1,002	881.00	789.00	785.00	670.00	650.00	645.00	1,816	1,823	2,161
Total Assets	73,022	76,578	74,111	70,817	62,307	225,260	224,576	228,348	245,013	277,884
Insurance Annuity Liability	42,462	40,942	39,194	37,907	34,438	33,816	29,241	73,242	73,976	100,136
Unearned Premiums	7,815	7,194	6,629	6,635	5,282	5,322	5,392	5,385	5,255	5,225
Debt	4,499	5,173	4,643	5,109	4,812	5,256	5,141	5,804	6,109	6,626
Common Equity	13,297	17,509	18,222	15,936	12,767	13,494	16,903	17,642	18,720	18,905
Property & Casualty: Combined	94.60	96.30	NM	NM	NM	NM	NM	NM	NM	98.10
% Return on Revenue	8.12	10.58	8.48	10.05	9.55	-18.28	5.51	10.53	4.31	0.93
% Return on Equity	11.50	13.00	10.00	14.20	11.20	-1.70	3.50	6.50	7.20	5.90
Premium/Annuity Revenue	19,390	17,999	17,288	16,923	15,869	14,141	13,697	13,485	13,336	13,231

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

The Hartford Financial Services Group, Inc.

Sub-Industry Outlook

CFRA's fundamental outlook for the multi-line insurance sub-industry is positive. Multi-line carriers are positioned to benefit from what we view as continued favorable long-term demand trends for savings and retirement products, despite the near-term pressures brought on by a decline in asset values. This group's stock performance is also heavily influenced by company-specific issues, as several companies in this space are undergoing restructuring and others have been the focus of merger and acquisition activity.

CFRA estimates that property-casualty written premium growth will likely be about 7%-10% in 2023 and by 6% to 10% in 2024 versus written premium growth of 8.3% reported in 2022 [that was in line with our forecast of a 7%-10% rise], above the 8% rise in 2021 and the 2.5% rate of written premium growth produced in 2020 and the 3.4% posted in 2019. These forecasted rates of growth reflect high-single-digit rates of growth in the personal lines segment [which accounts for about half of industry premiums] and mid- to high-single-digit premium growth in the commercial lines segment, owing to a firming of rates for most lines of coverage.

Underwriting results in 2022 reflected many of these trends. Earned premiums rose by around 8.3% and net investment advanced by around 26% year-over-year during 2022. Operating profitability in many segments of the property-casualty industry is heavily influenced by the level of weather and catastrophe losses, and recently, by Covid-19 claims. Higher catastrophe claims and a broad-based increase in claim cost inflation across many lines of coverage led to an erosion in underwriting profitability in 2022, and a pre-tax underwriting loss of \$26.9 billion in 2022 contrasted with a pre-tax underwriting loss of \$3.8 billion in 2021. As a result, the combined [loss and expense] ratio, a key underwriting metric, eroded to 102.7% in 2022 from 99.6% in 2021, 98.8% in 2020, and 99.0% in 2019. This compares to 99.3% in 2018, an unprofitable 103.9% in 2017, 100.8% in 2016, and 97.9% in

2015.

Many multi-line insurers also underwrite life and health insurance, annuities, and offer an array of savings and investment products. Evidence of the industry's exposure to spreads-based products can be seen in the life insurance industry's business mix. In 2022, individual and group annuities accounted for more than 49% of the industry's premium base, while group accident and health accounted for approximately 27%, group and individual life insurance for 23%, and other types of policies for the remaining 1%.

Historically, multi-line insurers have underwritten an array of life, health, and property-casualty insurance. The theory behind this broad-based strategy was that a loss in one line would be offset by a profit in another line. This diversified approach was not met with great enthusiasm by investors, who accorded the shares of most multi-line insurers relatively low P/E multiples. We are seeing a divergent trend among multi-line insurers, as some are streamlining their operating structures and focus, while others have retained their multi-line roots and are pursuing a more diversified strategy.

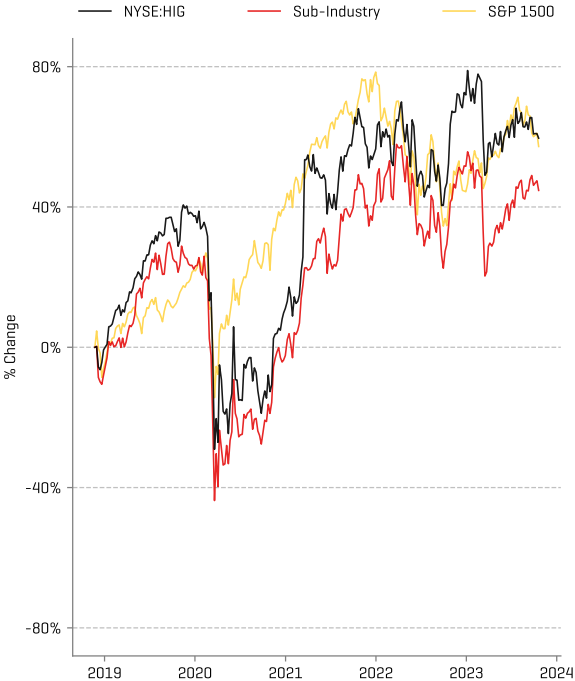
During 2022, the S&P Multi-Line Insurance Index rose by 7.1%, outperforming the S&P 1500, which fell by 19.1%. Year-to-date through August 11, 2023, the sub-industry index declined by 2.6%, while the S&P 1500 advanced by 15.7%.

/ Catherine Seifert

Industry Performance

GICS Sector: Financials
Sub-Industry: Multi-line Insurance

Based on S&P 1500 Indexes
Five-Year market price performance through Oct 21, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
All Sector & Sub-Industry information is based on the Global Industry Classification Standard [GICS].
Past performance is not an indication of future performance and should not be relied upon as such.
Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Multi-line Insurance Peer Group*: Multi-line Insurance

Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. [M]	30-Day Price Chg. [%]	1-Year Price Chg. [%]	P/E Ratio	Fair Value Calc.	Yield [%]	Return on Equity [%]	LTD to Cap [%]
The Hartford Financial Services Group, Inc.	HIG	NYSE	USD	71.99	22,016.0	-2.4	5.9	10.0	67.76	2.4	14.2	23.5
American International Group, Inc.	AIG	NYSE	USD	61.17	43,547.0	-1.9	16.0	11.0	68.27	2.4	11.2	32.0
Assurant, Inc.	AIZ	NYSE	USD	149.07	7,904.0	5.9	-1.9	14.0	116.75	1.9	7.7	31.4
Atlantic American Corporation	AAME	NasdaqGM	USD	1.93	39.0	0.5	-28.5	151.0	N/A	1.0	0.6	25.6
Horace Mann Educators Corporation	HMN	NYSE	USD	31.58	1,290.0	8.7	-18.4	NM	N/A	4.2	-2.1	15.6

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA- Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

The Hartford Financial Services Group, Inc.

Analyst Research Notes and other Company News

July 28, 2023

12:00 PM ET... CFRA Keeps Buy Opinion on Shares of The Hartford Financial Services Group Inc. [HIG 72.84****]:

We keep our 12-month target price of \$82, valuing HIG shares at 7.5x our newly initiated 2025 operating EPS estimate of \$10.95 and at 8.4x our 2024 operating EPS estimate of \$9.75 [upped by \$0.30], versus the shares' one-year average forward multiple of 8.7x and peer average of 12.4x. We trim our 2023 operating EPS estimate by \$0.09 to \$7.91 after Q2 operating EPS of \$1.88 versus \$2.16 lagged our \$1.97 EPS estimate [but topped the \$1.85 consensus view]. In addition, 12% written premium growth was offset by a 24% drop in underwriting profits on auto claim cost inflation and higher catastrophes that pushed the Q2 combined ratio to 91.2% from 87.3%, though underlying results remained stable at 88.3% versus 88.1%. We lift our 2023 operating revenue forecast to an increase of 7%-12% and see 7%-10% higher revenues in 2024. Currently trading at 7.5x our 2024 EPS estimate and yielding 2.3%, we view the shares as undervalued versus peer and historical averages. / Catherine Seifert

April 28, 2023

11:36 AM ET... CFRA Keeps Buy Opinion on Shares of The Hartford Financial Services Group, Inc. [HIG 70.97****]:

We up our 12-month target by \$4 to \$82, valuing HIG shares at 8.7x our 2024 operating EPS estimate of \$9.45, versus a one-year average forward multiple of 9x and a disparate peer average of 12.1x. We keep our 2023 EPS estimate of \$8.00 after Q1 EPS of \$1.68 versus \$1.66 matched our EPS estimate and the consensus view, on 6.8% higher operating revenues [versus our 5%-9% forecasted rise] amid 8.9% higher premiums [7%-10%] and 1.2% higher investment income [flat- 5% higher], partly offset by 12% lower fee revenues [5% growth forecasted]. Benefit and loss costs rose 11.6% on 89% higher catastrophes [\$185M versus \$98M], but underwriting results remained profitable with a combined ratio of 92.7% versus 90.3% and underlying underwriting results remained stable [at 88.5% versus 88.3%] despite inflationary auto claim trends that HG is addressing with rate hikes. At current levels, the shares trade at 7.5x our 2024 EPS estimate and yield 2.4%. Shares are undervalued versus peer and historical averages, in our view. / Catherine Seifert

April 14, 2023

04:07 PM ET... CFRA Keeps Buy Opinion on Shares of The Hartford Financial Services Group, Inc. [HIG 67.32****]:

We lower our 12-month target price by \$7 to \$78, or 8.3x our 2024 operating EPS estimate of \$9.45, below HIG's five-year average forward multiple of 10x and the peer average of 14x. Ahead of Q1 results, set to be released April 27, we are cutting our Q1 and full-year 2023 operating EPS estimate by \$0.45 to \$1.68 and \$8.00, respectively, after HIG pre-announced that Q1 results will be adversely impacted by \$185M in pretax catastrophe claims and by continued adverse claim trends in personal auto. Despite 75% of the catastrophes likely to be absorbed by the commercial lines segment, we expect Q1 commercial lines results to remain profitable amid an environment marked to adequate pricing trends. Our view is tempered by the continued personal auto claim trend deterioration, which is an industry-wide problem. At current levels, HIG shares [which currently yield 2.5%] trade at 8.4x our 2023 operating EPS estimate, a discount to peer and historical averages, and are undervalued, in our view. / Catherine Seifert

February 03, 2023

11:35 AM ET... CFRA Keeps Buy Opinion on Shares of The Hartford Financial Services Group, Inc. [HIG 74.53****]:

We up our 12-month target by \$5, to \$85, valuing HIG shares at 9x our newly initiated 2024 operating EPS estimate of \$9.45 and at 10.1x our 2023 EPS estimate of \$8.45 [upped today by \$0.10], vs. a five-year average forward multiple of 10.1x and a peer average of 14x. Q4 operating EPS of \$3.21 versus \$2.02 topped our \$1.97 EPS estimate and the \$1.87 consensus view, on 7% higher operating revenues, a 2.8% drop in operating costs and some improved claim trends despite higher catastrophes, evidenced by the Q4 loss ratio of 73.6% vs. 84.0%. Full-year EPS of \$7.56 vs. \$6.15 topped our \$7.22 EPS estimate and the \$7.15 consensus forecast on 5.1% higher operating revenues as 8% higher premiums were partly offset by 6% lower investment income and 9% lower fee revenue. We are encouraged by the 9% rise in written premiums, which will aid revenue growth of 5% to 9% that we see for 2023. Currently trading at 8.8x our 2023 EPS estimate and yielding 2.3%, HIG is undervalued, we think, versus peer and historical averages. /

Catherine Seifert

October 28, 2022

10:52 AM ET... CFRA Keeps Buy Opinion on Shares of The Hartford Financial Services Group, Inc. [HIG 69.90****]:

We keep our 12-month target price of \$80, valuing HIG shares at 9.6x our '23 operating EPS estimate of \$8.35 [upped today by \$0.35], versus their three year average forward multiple of 9.8x and a peer average of 13.7x. We trim our '22 operating EPS estimate by \$0.21, to \$7.22 after HIG posted Q3 operating EPS of \$1.44 versus \$1.26, shy of our \$1.65 EPS estimate [but above the \$1.22 consensus forecast] on higher catastrophe claims. We lower our '22 operating revenue forecast to a rise of 3% to 6% [from an expected rise of 5% to 8%] on mixed investment income and mutual fund AUM trends, which are masking strong insurance top line growth we expect to be 9%-12% in '22- above peers. We still see 5%-9% operating revenue growth in '23 on continued insurance pricing power and an easing of investment pressures. At current levels, the shares [which yield 2.4% following a 10% dividend hike] trade at 8.4x our '23 operating EPS estimate, a discount to peer and historical averages, and are undervalued in our view. / Catherine Seifert

July 29, 2022

09:13 AM ET... CFRA Keeps Buy Opinion on Shares of The Hartford Financial Services Group, Inc. [HIG 64.50****]:

We trim our 12-month target price by \$2, to \$80, or 10x our 2023 operating EPS estimate of \$8.00, versus HIG's three-year average forward multiple of 10x and a peer average of 12.5x. We lift our 2022 operating EPS estimate by \$0.40, to \$7.43, after Q2 operating EPS of \$2.15 versus \$2.33 bested our \$1.60 EPS estimate and the \$1.52 consensus forecast, as a healthy 7.8% rise in premiums and 7.4% fewer shares amid buybacks were partly offset by a market driven 7% drop in investment income and 9% lower fee revenues. We trim our 2022 operating revenue forecast to a rise of 5% to 8% [from 6%-9%] amid these pressures, but applaud the 10% Q2 rise in net written premiums, driven by a 14% rise in commercial written premiums. We are also encouraged by the stable underwriting results, with an underlying combined ratio of 89.4% versus 89.2%. Currently trading at 8.1x our 2023 EPS estimate [yielding 2.4%], with top line growth and stable claim trends as catalysts, we view HIG as undervalued versus peer, historical averages. / Catherine Seifert

April 29, 2022

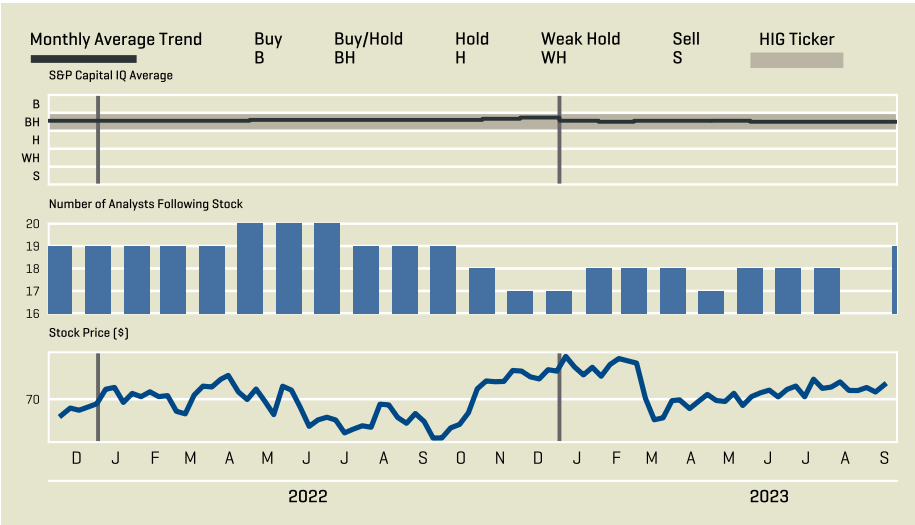
11:42 AM ET... CFRA Keeps Buy Opinion on Shares of The Hartford Financial Services Group, Inc. [HIG 71.00****]:

We keep our 12-month target price of \$82, or 10.3x our 2023 operating EPS estimate of \$8.00 [upped today by \$0.05] and 11.7x our 2022 operating EPS estimate of \$7.03 [lifted today by \$0.03] versus HIG's one-year average forward multiple of 10.8x, peers' average of 12.6x. Q1 operating EPS of \$1.66 versus \$0.56 topped the \$1.55 consensus forecast but lagged our \$1.95 EPS estimate [on a different timing of certain claims that we have adjusted]. Q1 operating revenues rose 6.1% [versus our 7%-10% growth forecast] on an in-line 7.1% rise in premiums as HIG leverages a strong insurance pricing environment, offset by 3% higher fee revenues [versus our 10%-15% growth forecast] and flat investment income [below our 3%-5% forecasted rise]. We lower our 2022 operating revenue forecast a bit, to 6%-9%, and see a 5%-8% rise in 2023. Currently trading at 10x our 2022 EPS estimate [a 20% discount to peers], with peer-average growth metrics, we view the shares [currently yielding 2.2%] as undervalued versus peers. / Catherine Seifert

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

The Hartford Financial Services Group, Inc.

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	6	32	6	6
Buy/Hold	6	32	6	6
Hold	7	37	6	6
Weak hold	0	0	0	0
Sell	0	0	0	0
No Opinion	0	0	0	0
Total	19	100	18	18

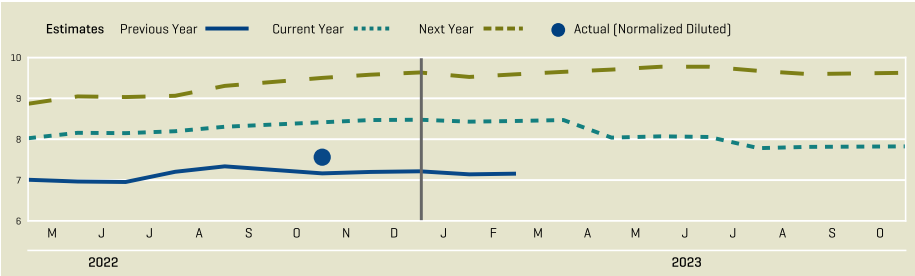
Wall Street Consensus Opinion

Buy/Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that HIG will earn USD 7.82. For fiscal year 2024, analysts estimate that HIG's earnings per share will grow by 22.97% to USD 9.62.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	9.62	10.30	8.75	16	7.48
2023	7.82	8.15	7.55	17	9.20
2024 vs. 2023	▲ 23%	▲ 26%	▲ 16%	▼ -6%	▼ -19%
Q3'24	2.30	2.60	1.85	10	31.29
Q3'23	1.97	2.16	1.86	18	36.62
Q3'24 vs. Q3'23	▲ 17%	▲ 20%	▼ -0%	▼ -44%	▼ -15%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

The Hartford Financial Services Group, Inc.

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsule the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



The Hartford Financial Services Group, Inc.

Disclosures

Stocks are ranked in accordance with the following ranking methodologies:

STARS Stock Reports:

Qualitative STARS rankings are determined and assigned by equity analysts. For reports containing STARS rankings refer to the Glossary section of the report for detailed methodology and the definition of STARS rankings.

Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section of the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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